

# Investment memo — Techtronic Industries (0669 . HK)

**Date:** October 2025 (case study)

**Analyst:** Independent research template

**Recommendation:** Buy (12-month view; base-case DCF and comps support moderate upside)

**Listing:** Hong Kong Stock Exchange | **Reporting:** USD | **Sector:** Industrials / power tools & outdoor equipment

**Analysis date:** October 2025

**Knowledge cutoff:** 31 October 2025 — only information an analyst could have used by that date: last filed **annual** accounts (**FY2024**, year-end December 2024), peer statements on the same basis, and **HKEX close on or before 31 Oct 2025**. No FY2025 full-year results, no 2026 prices, no later filings.

**Point-in-time valuation snapshot (model output)**

| Item                     | Value         |
|--------------------------|---------------|
| Data mode                | point_in_time |
| Published                | 2025-10-31    |
| Knowledge cutoff         | 2025-10-31    |
| Last actual fiscal year  | FY2024        |
| Spot price (HKD)         | 88.84         |
| Base-case DCF (HKD / sh) | 138.5         |
| DCF vs spot              | +55.9%        |
| Recommendation           | Buy           |

***Disclaimer:** Educational case study using public data replayed to a stated cutoff. Not investment advice. Verify against HKEX filings and company announcements.*

## 1. Executive summary

Techtronic Industries (TTI) is a Hong Kong–headquartered global leader in cordless power tools (Milwaukee, AEG) and outdoor products (Ryobi), with the majority of revenue tied to North American professional and DIY end-markets. The stock offers a **quality-growth industrial** profile: above-peer growth historically, premium Milwaukee positioning, and structural cordless share gains.

**Base-case view (2025–2026):** Revenue growth re-accelerates modestly as U.S. housing activity stabilizes and inventory channels normalize after destocking. Margin recovery is gradual—promotional pressure in outdoor partially offsets Milwaukee mix and cost programs.

| Metric             | View                                                                |
|--------------------|---------------------------------------------------------------------|
| Base-case rating   | <b>Buy</b>                                                          |
| Valuation approach | DCF (5-yr explicit) + trading comps + transaction precedents        |
| Key debate         | Depth/duration of U.S. housing & R&R vs Milwaukee innovation cycle  |
| Primary risk       | Consumer/pro weakness, tariff/input cost shocks, China supply chain |

Valuation exhibits (charts and tables in this document) are generated from the same **Oct 2025 point-in-time** model: **FY2025–FY2029** forecast from an **FY2024** base, with spot and comps as of **31 Oct 2025**.

## 2. Business overview & competitive positioning

**What they do:** Design, manufacture, and distribute power tools, outdoor power equipment, floorcare, and related accessories. Milwaukee is the growth engine in **professional** channels (construction, MRO); Ryobi skews **DIY/outdoor**; OEM brands add private-label scale.

### Competitive strengths

- **Brand & channel:** Milwaukee's dealer/ecosystem loyalty and battery platform (M18/FUEL) create switching costs.
- **Innovation cadence:** Faster product cycles vs legacy corded portfolios at peers.
- **Geographic scale:** Sourcing and distribution footprint across Asia and Americas.

### Relative weaknesses

- **Outdoor/DIY exposure:** More cyclical and promotion-sensitive than pure-play pro tools.
- **Customer concentration:** Big-box and major distributors remain important in North America.
- **FX & tariffs:** USD reporting but global cost base—policy shifts flow through margins with a lag.

**Peers (trading):** Stanley Black & Decker (SWK), Snap-on (SNA), Husqvarna (HUSQ-B.ST), Makita (6588.T), plus TTI as HK-listed anchor (0669.HK).

## 3. Sector drivers (2025–2026)

| Driver                                      | Implication for TTI                                                        |
|---------------------------------------------|----------------------------------------------------------------------------|
| U.S. residential renovation & pro activity  | Core demand for Milwaukee; lagged recovery if rates stay higher for longer |
| Cordless penetration / lithium substitution | Structural share gain vs corded; supports ASP and attachment sales         |
| Housing starts & existing home turnover     | Correlates with DIY/outdoor (Ryobi) more than pro backlog                  |
| Retail inventory normalization              | Easier YoY comparisons after 2023–24 channel reset                         |
| Input costs (steel, batteries, electronics) | Margin swing factor; hedging and pricing actions matter                    |
| Tariffs / trade policy (US–China)           | Supply chain flexibility partially mitigates; margin risk in bear case     |

### Earnings catalysts (next 12–18 months)

1. **FY2025 results / guidance** — margin bridge vs raw material and promo headwinds.

2. **Milwaukee new category launches** (e.g., expansion in storage, safety, outdoor pro) — mix uplift.
3. **North America POS data** through home-center partners — early read on outdoor recovery.
4. **Capital allocation** — dividend growth continuity and any buyback signals.
5. **China macro** — smaller revenue share but sentiment driver for HK-listed names.

## 4. Financial forecast (summary)

**Historical base:** FY2024 actual (latest annual report available at the cutoff). **Forecast:** FY2025–FY2029.

### Base-case operating assumptions (FY2025–FY2029)

- Revenue CAGR ~5.8% (professional mix + cordless, partially offset by outdoor cyclicality).
- Gross margin drifting ~40% on mix and cost savings.
- SG&A leverage modest as growth re-accelerates.
- Capex ~2.8% of sales; NWC ~18% of sales (stable).
- Tax ~17.5% (simplified blended).

FY2025 growth and margins are **forward estimates** from the FY2024 base (not FY2025 reported actuals, which were not available at the cutoff).

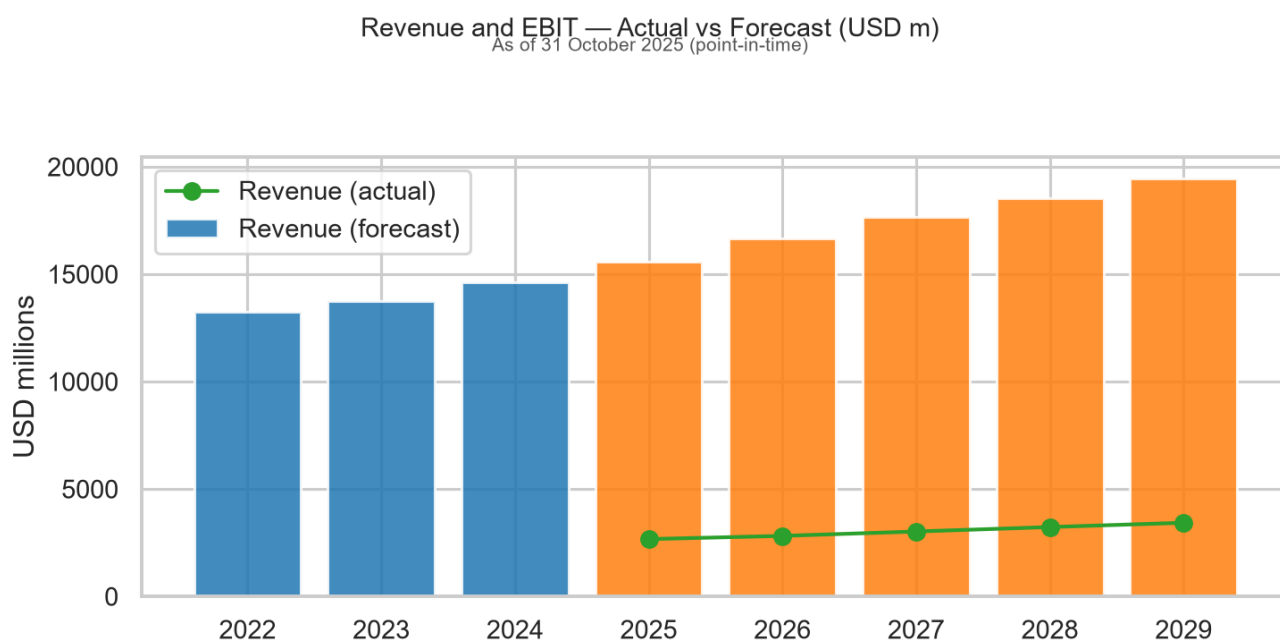


Figure 1 — Revenue and EBIT, actual vs forecast (USD m)

## 5. Valuation

### 5.1 DCF (unlevered)

- **WACC:** ~8.5–9.5% (Rf 4.2%,  $\beta \approx 1.05$ , ERP 5.5%, small debt weight).
- **Terminal growth:** 2.5% base (developed-market nominal GDP + share gain).

• **Explicit period:** 5 years unlevered FCF from forecast model.

**Sensitivities:** WACC versus terminal growth (implied share price); gross-margin shifts ±100–200 bps on the forecast.

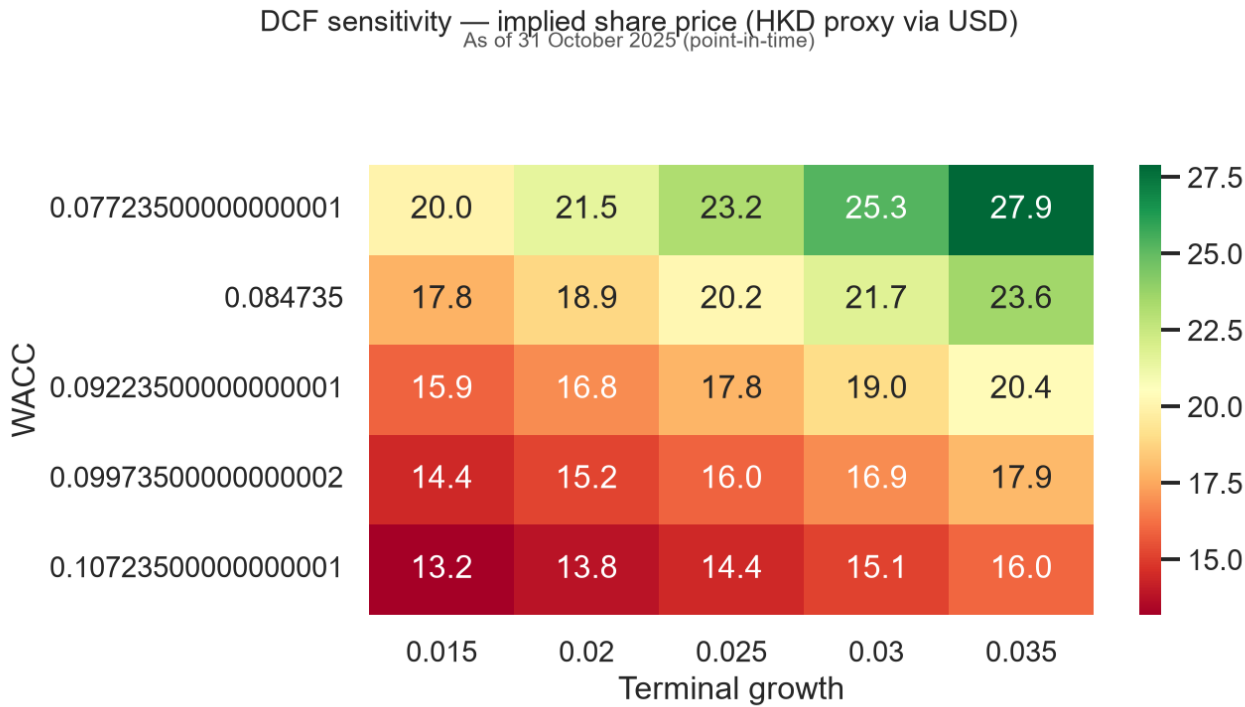


Figure 2 — DCF sensitivity heatmap (implied price)

5.2 Trading comps

Peer median **EV/EBITDA**, **EV/Revenue**, and **P/E** applied to TTI LTM metrics (peer median excludes subject).

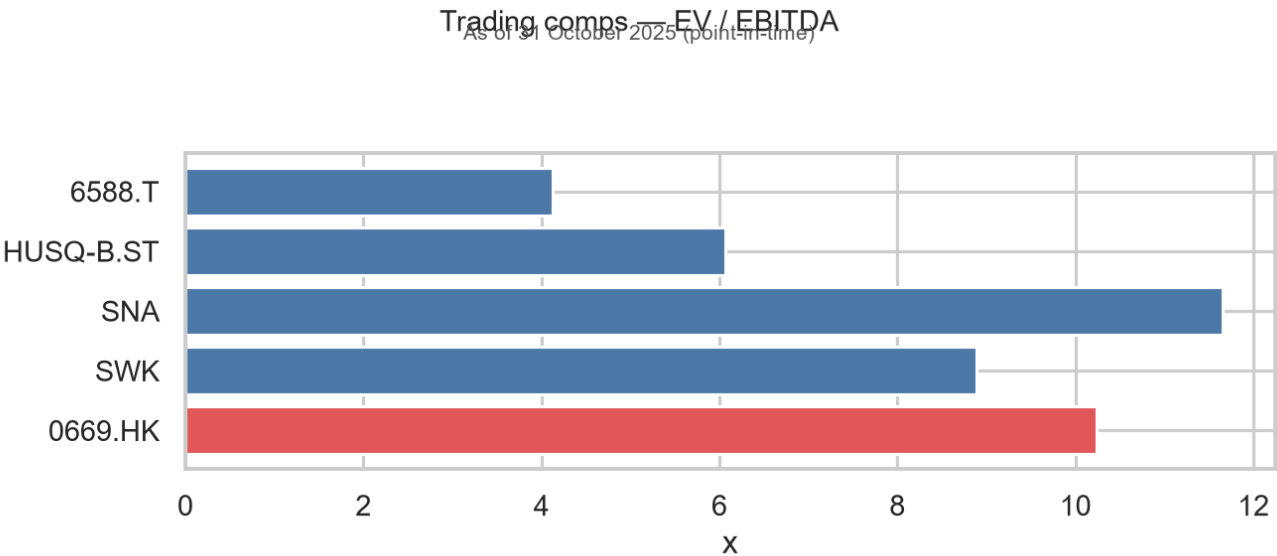


Figure 3 — Trading comps: EV / EBITDA

Table — Implied valuation from peer median multiples

| method                   | enterprise_value_usd_m | equity_value_usd_m | implied_price_usd | implied_price_hkd |
|--------------------------|------------------------|--------------------|-------------------|-------------------|
| EV/EBITDA (peer median)  | 15,330.19              | 14,455.59          | 7.92              | 61.52             |
| EV/Revenue (peer median) | 12,531.17              | 11,656.57          | 6.39              | 49.61             |
| P/E (peer median)        | —                      | 17,875.22          | 9.79              | 76.08             |

### 5.3 Transaction comps (illustrative)

Precedent industrial/tool deals (multiples ~11–13× EV/EBITDA) support **mid-cycle** valuation anchors—not point estimates.

**Table — Illustrative transaction comps (EV/EBITDA)**

| name                                                  | ev_ebitda | year     |
|-------------------------------------------------------|-----------|----------|
| Stanley Black & Decker / Craftsman (tool brand, 2017) | 11.50     | 2,017.00 |
| Emerson / Copeland (HVAC, 2023)                       | 12.80     | 2,023.00 |
| Toro / Charles Machine Works (outdoor, 2019)          | 13.20     | 2,019.00 |

### 5.4 Triangulation

| Method        | Role in thesis                                      |
|---------------|-----------------------------------------------------|
| DCF           | Primary — captures growth, margin, and reinvestment |
| Trading comps | Cross-check — market pricing of peer set            |
| Transactions  | Floor/ceiling for strategic control premium context |

**Triangulated DCF scenarios — implied price**  
As of 31 October 2025 (point-in-time)

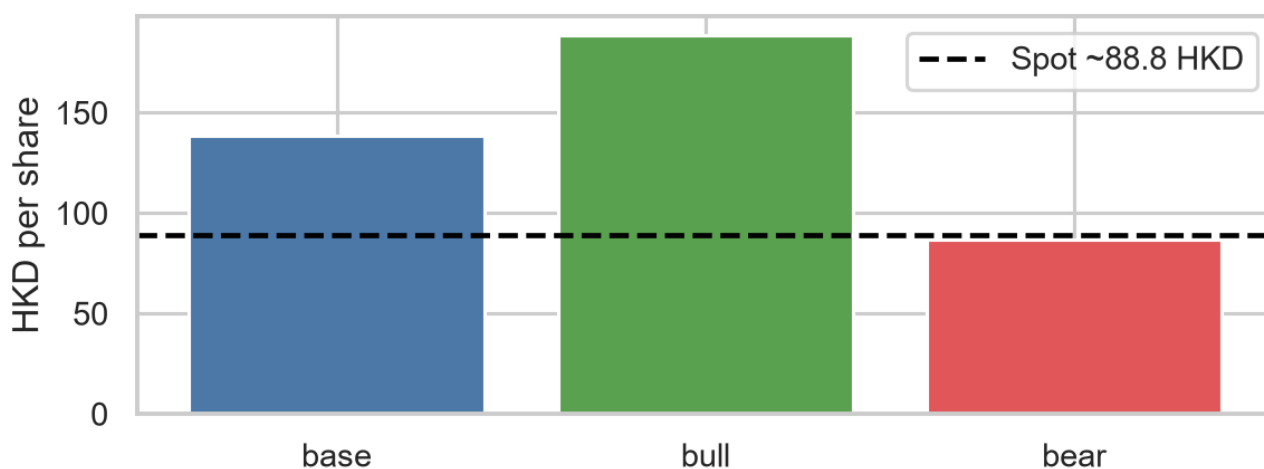


Figure 4 — DCF scenarios vs spot (HKD)

## 6. Bull / base / bear scenarios

| —               | Bull                                                    | Base                                          | Bear                                              |
|-----------------|---------------------------------------------------------|-----------------------------------------------|---------------------------------------------------|
| Revenue         | +2pp vs base growth                                     | Config vector                                 | −3pp vs base                                      |
| Gross margin    | +150 bps vs base                                        | ~40% trajectory                               | −200 bps (promo/tariffs)                          |
| Terminal growth | 3.0%                                                    | 2.5%                                          | 1.5%                                              |
| WACC            | −50 bps (risk-on)                                       | Mid estimate                                  | +100 bps                                          |
| Narrative       | Strong U.S. R&R, Milwaukee share gains, outdoor rebound | Normalization                                 | Prolonged housing weakness, price wars in outdoor |
| Implied outcome | Meaningful upside to spot                               | <b>Buy</b> — modest upside / fair risk-reward | Downside to DCF; <b>Hold/Reduce</b>               |

Table — Quantified DCF scenarios (implied share price)

| scenario | wacc | terminal_growth | enterprise_value_usd_m | equity_value_usd_m | implied_price | implied_price_hkd |
|----------|------|-----------------|------------------------|--------------------|---------------|-------------------|
| base     | 0.09 | 0.03            | 33,421.36              | 32,546.76          | 17.83         | 138.52            |
| bull     | 0.09 | 0.03            | 45,157.55              | 44,282.95          | 24.26         | 188.47            |
| bear     | 0.10 | 0.01            | 21,266.63              | 20,392.03          | 11.17         | 86.79             |

## 7. Risks

- **Cyclical demand:** Delayed recovery in housing-linked categories.
- **Competitive pricing:** SWK and private label in DIY/outdoor.
- **Operational:** Product liability, battery technology shifts, recall risk.
- **Geopolitical:** Tariffs affecting China-sourced components.
- **Model / data:** Yahoo-derived financials may not match HKEX filings; simplified balance sheet in forecast.

## 8. Conclusion & rating

On **base-case** assumptions, TTI's combination of Milwaukee-led growth, cordless structural tailwinds, and HK-listed access to a global industrial compounder justifies a **Buy** rating relative to a peer set trading at mixed multiples. The **bear** case is clearly defined around U.S. consumer/pro cyclical and margin compression; the **bull** case requires sustained mix shift and outdoor recovery.

**Action:** Re-run valuation monthly; downgrade to **Hold** if spot exceeds bull-case implied value or if two consecutive guidance cuts materialize.

## Appendix — Model reproduction (source code)

This case study is reproduced with Python (yfinance data). Source repository includes `config/case_study.yaml`, modules under `src/`, and `docs/MODEL_DOCUMENTATION.md` for assumption logic. Charts in this memo are generated from the same pipeline used for the valuation summary slide.

*Published 31 October 2025 · Spot 88.84 HKD · Base DCF 138.5 HKD · Last actual FY2024.*